

Chapter 2

Understanding Financial Statements

Financial statements are the bedrock of fundamental analysis, providing a detailed snapshot of a company's financial health. In this chapter, we will delve into the three primary financial statements: the balance sheet, income statement, and cash flow statement. Additionally, we will explore essential ratios and metrics used in financial statement analysis to gauge a company's performance and potential for future growth.

2.1 Balance Sheet

The balance sheet is a fundamental financial statement that presents a company's financial position at a specific point in time. It is divided into three main components: assets, liabilities, and equity.

2.1.1 Assets

Assets represent everything a company owns or controls that has the potential to generate future economic benefits. They are categorized into current assets (e.g., cash, receivables) and non-current assets (e.g., property, plant, equipment). Understanding the composition and value of a company's assets is crucial for assessing its ability to generate profits and sustain operations.

2.1.2 Liabilities

Liabilities encompass a company's obligations and debts. Like assets, they are divided into current liabilities (e.g., short-term debt, accounts payable) and non-current liabilities (e.g., long-term debt, deferred tax liabilities). Examining the liabilities side of the balance sheet is essential for evaluating a company's financial obligations and its capacity to meet them.

2.1.3 Equity

Equity represents the residual interest in the assets of a company after deducting liabilities. It includes common stock, retained earnings, and